



Financial Analysis of HUL vs ITC



Project Overview

This project presents a **comparative and common-size balance sheet analysis** of **Hindustan Unilever Limited (HUL)** and **ITC Limited**. The objective is to understand and compare the financial structure, capital composition, and asset allocation of two leading Indian FMCG companies.

The analysis helps in evaluating how each company finances its operations, manages liabilities, and invests in assets.



Objectives of the Project

- To perform **Comparative Balance Sheet Analysis** of HUL and ITC
 - To conduct **Common-Size Balance Sheet Analysis** for better structural comparison
 - To interpret financial data and derive meaningful **insights**
 - To compare financial strength, stability, and flexibility of both companies
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Tools & Techniques Used

- **Microsoft Excel**
 - Comparative Balance Sheet Analysis
 - Common-Size Balance Sheet Analysis
 - Financial Interpretation & Insights
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Project Structure

- HUL - Comparative Balance Sheet
- HUL - Common-Size Balance Sheet
- ITC - Comparative Balance Sheet
- ITC - Common-Size Balance Sheet
- Comparison Insights (HUL vs ITC)

All analyses are consolidated into a **single Excel file** for clarity and ease of understanding.

Key Insights

Capital Structure

- HUL has a higher proportion of **reserves and surplus**, indicating strong retained earnings and lower dependence on external financing.
- ITC shows relatively higher reliance on operational liabilities.

Current Liabilities

- ITC has a higher share of current liabilities compared to HUL, suggesting greater short-term obligations.

Asset Composition

- Both companies invest significantly in non-current assets.
- ITC appears more asset-intensive compared to HUL.

Financial Flexibility

- HUL demonstrates stronger financial flexibility due to a solid equity base.
- ITC reflects a more diversified but comparatively liability-heavy structure.

Conclusion

The analysis shows that **HUL maintains a more conservative and stable financial structure**, while **ITC operates with higher asset intensity and operational liabilities**. Both companies are financially strong, but their balance sheet strategies differ based on business models and operational focus.

Learning Outcomes

- Improved understanding of balance sheet analysis
- Hands-on experience with financial data interpretation
- Strengthened analytical and Excel skills
- Exposure to real-world corporate financial comparison

Disclaimer

This project is created for **educational and learning purposes only**, based on publicly available financial data.

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